

Impact of Overcapacity- Indian Automobile Industry 2018-2019

Industry Scenario

- In 2018-19, the Indian automobile sector went through a deep recession. An NBFC crisis in the country led to poor demand and lack of financiers.
- Y-o-Y monthly sales had fallen by upto 30% for companies.

Signs to spot oversupply in industry

- Distribution channels filled with inventory.
- Deep discounts being offered to customers.
- All players in value chain - auto ancillaries, tyre manufacturers, etc - negative about outlook.

Impact of the slowdown on the industry

- Companies did not initially reduce production. But once inventory had piled up, capacity utilisation had to come down.
- Fixed costs continued.
- Also, prices fell once discounts were offered.
- Automobile companies faced significant drop in profits in the short run. Even though the structural outlook remained good, the companies were struggling in the short term and medium term.